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Case Number: 26PSCV01294 Hearing Date: July 20, 2026 Dept: 6

CASE

NAME: John Guzman

v. General Motors, LLC

Defendant

General Motors LLC's Demurrer to Plaintiff's First Amended Complaint

TENTATIVE

RULING

The Court OVERRULES Defendant General Motors LLC's Demurrer to the Fourth Cause of Action of Plaintiff's First Amended Complaint. The Court SUSTAINS the Demurrer to the Fifth Cause of Action of Plaintiff's First Amended Complaint without leave to amend. Defendant must file and serve an Answer to the First Amended Complaint's remaining causes of action within ten calendar days of the Court's order.

Defendant General Motors LLC is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a lemon law case. On April 8, 2026, plaintiff John Guzman (Plaintiff) filed this action against defendant General Motors, LLC (Defendant) and Does 1 through 10, alleging causes of action for violation of subdivision (d) of Civil Code section 1793.2, violation of subdivision (b) of Civil Code section 1793.2, violation of subdivision (a)(3) of Civil Code section 1793.2,

breach of the implied warranty of merchantability, and fraudulent inducement-concealment.

On May 26, 2026, Plaintiff filed the operative First Amended Complaint (FAC) against Defendant and Does 1 through 10, alleging the same causes of action.

On June 17, 2026, Defendant demurred to the FAC. On July 7, 2026, Plaintiff opposed the Demurrer. On July 13, 2026, Defendant replied to Plaintiff's Opposition.

LEGAL STANDARD

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*).) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

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demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, supra, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

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demurrer can be utilized where the "face of the complaint" itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The "face of the complaint" includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94; see also *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 ["[W]e rely on and accept as true the contents of the exhibits and treat as

surplusage the pleader's allegations as to the legal effect of the exhibits"].)

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demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046-1047.)

DISCUSSION

Meet and Confer

The Court finds Defendant's efforts to meet and confer before bringing this Demurrer sufficient. (Code Civ. Proc., § 430.41, subd. (a); *Perez Decl.*, ¶ 2.)

Fourth Cause of Action – Breach of the Implied Warranty of Merchantability

For the statute of limitations to bar a cause of action at the pleading stage, the defects must “clearly and affirmatively appear on the face of the complaint...” (*Stueve Bros. Farms, LLC v. Berger Kahn* (2013) 222 Cal.App.4th 303, 321.) The statute of limitations for breach of the implied warranty of merchantability is four years. (*Montoya v. Ford Motor Co.* (2020) 46 Cal.App.5th 493, 495.)

Defendant demurs to the Fourth Cause of Action of the FAC for breach of the implied warranty of merchantability on the grounds that it is time barred by the four-year statute of limitations. Defendant contends Plaintiff purchased the vehicle on March 16, 2022, which means this cause of action expired on March 16, 2026, but Plaintiff did not file this action until April 8, 2026.

In opposition, Plaintiff contends the FAC does not affirmatively show a statute of limitations defense. Plaintiff contends the statute of limitations on breach of the implied warranty of merchantability accrues when the breach is or should have been discovered. Plaintiff contends the earliest a cause of action for breach of implied warranty accrues is upon tender of delivery, but the existence of the implied warranty of merchantability that

gives rise to a cause of action for its breach is not limited to the time of delivery, and the claim may accrue where the consumer discovers a latent defect after tender of delivery and within a reasonable time of notifying the seller of the breach.

The Court finds that it cannot determine from the face of the FAC that the statute of limitations bars Plaintiff's Fourth Cause of Action for breach of the implied warranty of merchantability. Commercial Code section 2725, subdivision (2), limits the duration of implied warranties in Song-Beverly cases to a one-year maximum from the date of delivery. (FAC, ¶¶ 6-21, 64-68, Ex. A; Comm. Code, § 2725, subd. (2); *Mexia v. Rinker Boat Co.* (2009) 174 Cal.App.4th 1297, 1306 (*Mexia*) [statute of limitations for breach of the implied warranty of merchantability for a Song-Beverly claim is four years under Commercial Code section 2725 and runs from the date of delivery of the vehicle].) A purchaser is not required to discover and report to the seller a latent defect within that time period. (*Id.* at p. 1310.)

The implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale. In the case of a latent defect, a product is rendered unmerchantable, and the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery. (*Mexia*, *supra*, 174 Cal.App.4th at pp. 1304-1305 ["Thus, although a defect may not be discovered for months or years after a sale, merchantability is evaluated as if the defect were known."].) The principles expressed in *Mexia* lead to the conclusion that the effect of the Song-Beverly implied warranty 60-day to one year duration is that if a latent defect exists at any point during that 60-day to one-year period, as long as a lawsuit is filed within the four-year statute of limitations period, which accrues when the defect comes into existence, then the action for breach of implied warranty is timely, regardless of whether the latent defect was discovered after the 60-day to one-year implied warranty period. In this regard, an action filed after the four-year statute of limitations is time-barred, even if the latent defect is discovered after the implied warranty period.

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breach of implied warranty of merchantability cause of action accrues when the breach occurs, regardless of the plaintiff's lack of knowledge of the breach, and the breach of warranty occurs when the subject vehicle was tendered for delivery. (Comm. Code, § 2725, subd. (2).) The exception under section 2725,

subdivision (2), does not apply here because that requires an express warranty that explicitly extends to future performance of goods and an implied warranty by definition does not explicitly extend to future performance of goods. (See Comm. Code, § 2725, subd. (2); Mexia, supra, 174 Cal.App.4th at pp. 1304-1307.) Plaintiff alleges that the subject defects existed as of the date of the sale. (FAC, ¶ 67.) However, the FAC does not allege the date of sale or delivery of the subject vehicle. (See FAC, ¶¶ 6-21, 64-68.) Thus, it does not appear from the face of the FAC that the breach of implied warranty claim is time barred.

Based

on the foregoing, the Court OVERRULES the Demurrer as to the Fourth Cause of Action.

Fifth Cause of Action – Fraudulent Inducement-Concealment

To plead a cause of action for fraudulent concealment, the plaintiff must allege facts demonstrating, “(1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact. [Citation.]” (Hambrick v. Healthcare Partners Med. Grp., Inc. (2015) 238 Cal.App.4th 124, 162.) “If the duty allegedly arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts... the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (Rattagan v. Uber Techs., Inc. (2024) 17 Cal.5th 1, 43-44 (Rattagan).) The statute of limitations for a fraud claim is three years from the date of the plaintiff’s discovery of facts constituting the fraud. (Code Civ. Proc., § 338, subd. (d).)

Defendant demurs to the Fifth Cause of Action of the FAC for fraudulent inducement – concealment on the grounds that it is time-barred by the three-year statute of limitations, fails to allege facts sufficient to constitute a cause of action, and is barred by the economic loss rule and

independent tort principle. Defendant contends the statute of limitations bars Plaintiff's fraud claim because the FAC alleges Plaintiff purchased the subject vehicle on approximately March 16, 2022. Defendant therefore argues Plaintiff should have but did not file the claim by March 16, 2025. Defendant contends Plaintiff cannot satisfy the delayed discovery rule because Plaintiff alleges that the defects manifested themselves during the warranty period.

Defendant then argues that Plaintiff's fraudulent inducement-concealment claim fails because the FAC fails to plead fraud with the requisite specificity. Defendant contends Plaintiff fails to allege that Defendant knew of the alleged facts when Plaintiff bought the vehicle, such as advertisements or other materials where Defendant could have disclosed the allegedly omitted facts that Plaintiff reviewed and relied upon when buying the vehicle, and how long before buying the vehicle were materials viewed. Defendant contends Plaintiff also failed to plead with specificity facts showing Defendant intended to defraud by either making affirmative statements or failing to disclose material facts.

Defendant contends Plaintiff fails to allege facts establishing a duty to disclose. Defendant contends Plaintiff does not allege any kind of fiduciary relationship with Defendant and that Plaintiff fails to allege a direct transactional relationship with Defendant. Defendant contends Plaintiff does not allege purchasing the subject vehicle directly from Defendant or any direct transaction or interaction between them. Defendant then contends Plaintiff fails to plead Defendant had exclusive knowledge, and that Plaintiff's allegations in this regard are conclusory. Defendant contends Plaintiff's allegations regarding preproduction and postproduction testing data are not tied to the alleged defects at issue here. Defendant contends Plaintiff fails to plead active concealment, but relies on generic facts and unspecific information.

Defendant contends Plaintiff fails to allege justifiable and actual reliance, but instead makes general and conclusory allegations there. Defendant contends the express warranty constituted a disclosure that the vehicle might be defective. Defendant contends that a fraud claim based on information and belief fails unless facts upon which the belief is founded are also alleged. Defendant contends the FAC's allegations here are conclusory, and that Plaintiff does not assert where, when, or how Plaintiff learned about the behaviors Plaintiff attributes to Defendant or from what person or evidentiary source Plaintiff's information or belief stems. Defendant contends Plaintiff fails to plead any

fact that establishes any source of factual basis for the allegations that Defendant concealed this purported defect or engaged in any other fraudulent behavior.

Defendant finally contends that the economic loss rule bars Plaintiff's fraudulent concealment claim. Defendant contends that the risk that the transmission might be defective is precisely one of the risks contemplated in Defendant's warranty and that the express warranty expressly disclosed that properly. Defendant contends the fact that Plaintiff's fraudulent concealment claim rises and falls on whether there is a non-conforming transmission defects shows that the warranty limits Plaintiffs to contract remedies, not tort.

In opposition, Plaintiff contends the FAC does not affirmatively show a statute of limitations defense on the fraudulent inducement cause of action. Plaintiff contends the statute of limitations does not run from the date of sale as Defendant contends; rather, the cause of action accrues once a plaintiff discovers the facts constituting the fraud. Plaintiff contends that the fact the alleged fraud by omission occurred on the date of sale does not establish that Plaintiff discovered facts constituting fraud on that date.

Plaintiff then argues that the FAC contains all essential elements of fraudulent inducement-concealment and that Defendant's Demurrer must fail. Plaintiff contends it is not practical to allege facts showing how, when and by what means something did not happen in fraudulent concealment cases. Plaintiff contends to have sufficiently alleged the elements of fraudulent concealment by alleging misrepresentation/concealment, knowledge of falsity, intent to induce reliance, justifiable reliance, and damages. Plaintiff contends to have alleged entering into a warranty relationship with Defendant, identifying the material facts Defendant knew before Plaintiff bought the vehicle and withheld from Plaintiff, Defendant had superior knowledge of the facts, the safety risks the transmission defect posed, the materiality of that information, Plaintiff's reliance on the non-disclosure, and damages. Plaintiff argues that Defendant providing a warranty directly to Plaintiff is a contractual relationship that supports a duty to disclose. Plaintiff further contends a transactional relationship does not require privity in the sale for the manufacturer to have a duty to disclose.

The Court finds the FAC does not on its face allege facts demonstrating that Plaintiff's fraudulent inducement-concealment claim is time-barred under Code of Civil Procedure section 338, subdivision (d). Merely

alleging that defects and nonconformities manifested themselves during the warranty period is insufficient to trigger the statute of limitations because the FAC does not allege a clear date showing when Plaintiff discovered the alleged fraud. (See FAC, ¶¶ 6-21, 69-81; Code Civ. Proc., § 338, subd. (d).) The date the alleged warranty was entered into does not trigger the statute of limitations. The FAC does not allege facts clearly demonstrating when Plaintiff discovered the facts constituting the alleged fraud.

The Court also finds the economic loss rule does not bar this cause of action. “[T]he economic loss rule does not apply to limit recovery for intentional tort claims like fraud,” but applies instead to negligently inflicted economic losses devoid of physical or property damage. (Rattagan, supra, 17 Cal.5th at p. 38.) This cause of action is an intentional tort fraud claim and therefore falls outside the scope of the economic loss rule.

However, the Court finds the FAC does not allege sufficient facts to state a cause of action for fraudulent inducement-concealment. “A duty to disclose requires a preexisting relationship between the parties, such as between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances. Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Bjoin v. J-M Manufacturing Co., Inc. (2025) 113 Cal.App.5th 884, 901-902 (Bjoin), internal quotation marks and citations omitted, quoting LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 337, and Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 312 (Bigler-Engler); see Rattagan, supra, 17 Cal.5th at pp. 40-41).) A duty to disclose does not arise merely by virtue of the manufacturer advertising to the consumer or profiting from the sale of its products. (Bjoin, supra, at 113 Cal.App.5th at p. 902.)

The FAC alleges no facts demonstrating a fiduciary relationship or sufficient facts demonstrating a transactional relationship imposing on Defendant a duty to disclose. The FAC does not allege that Plaintiff bought the subject vehicle directly from Defendant. (See FAC, ¶¶ 6-21, 69-81.) At most, the FAC alleges facts demonstrating that Plaintiff’s relationship with Defendant was via the public at large, which does not support a direct transactional relationship. (Bjoin, supra, at 113 Cal.App.5th at p. 902.)

While the FAC alleges Plaintiff and Defendant entered into a warranty contract, the warranty documentation attached to the FAC is not a contract, but merely sets forth the scope of coverage under the warranty. (FAC, ¶¶ 6-7, Ex. A; Moran v. Prime Healthcare Mgmt., Inc. (2016) 3 Cal.App.5th 1131, 1145-1146 [facts appearing in exhibit take precedence over contradictory allegations in complaint].) "Express warranties may arise from sources outside a sales contract, including statements in a manufacturer's brochure [citations], and we have acknowledged that 'the implied warranty of merchantability arises by operation of law.' [Citation.]" (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 570 P.3d 857, 864; see also Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1335, aff'd, 17 Cal.5th 1122, 570 P.3d 857 (2025) ["California law does not treat manufacturer warranties imposed outside the four corners of a retail sale contract as part of the sale contract"].) Plaintiff's warranty claims here are based on statute, not contract. (See FAC, ¶¶ 50-63.) The FAC's fraud allegations are otherwise conclusory and fail to set forth any facts demonstrating a duty to disclose for purposes of fraudulent concealment. (See FAC, ¶¶ 6-21, 69-81.)

The Court declines to address the parties' remaining arguments. The Court also finds the defects identified herein cannot be remedied by amendment. Based on the foregoing, the Court SUSTAINS the Demurrer to the Fifth Cause of Action without leave to amend.

CONCLUSION

The Court OVERRULES Defendant General Motors LLC's Demurrer to the Fourth Cause of Action of Plaintiff's First Amended Complaint. The Court SUSTAINS the Demurrer to the Fifth Cause of Action of Plaintiff's First Amended Complaint without leave to amend. Defendant must file and serve an Answer to the First Amended Complaint's remaining causes of action within ten calendar days of the Court's order.

Defendant General Motors LLC is ordered to give notice of the Court's ruling within five calendar days of this order.